RESPONSIBILITIES AS A CFA INSTITUTE MEMBER OR CFA CANDIDATE

Learning Outcomes

- evaluate practices, policies, and conduct relative to the CFA Institute Code of Ethics and Standards of Professional Conduct
- explain how the practices, policies, and conduct do or do not violate the CFA Institute Code of Ethics and Standards of Professional Conduct

Conduct as Participants in CFA Institute Programs

Members and Candidates must not engage in any conduct that compromises the reputation or integrity of CFA Institute or the CFA designation or the integrity, validity, or security of the CFA Institute programs.

Taveras

Taveras, CFA, leads an exam preparation course sponsored by his local society. The society hosts a celebration for the students after the exam is over. During the celebration, several of Taveras's students describe their experience of taking the exam. Most give their opinion on the relative difficulty of the exam compared to their expectations, and some describe their surprise about areas of the curriculum that were not tested. Taveras asks his students for their opinions on the most difficult exam questions.

Under the CFA Institute Code and Standards, Taveras is most likely

A. prohibited from discussing the exam with students after it is over.
B. free to pass along information about the exam to candidates in future prep courses to help prepare them for the exam.
C. allowed to share the opinions of his students about the difficulty of the exam with candidates in future prep courses to emphasize the need to thoroughly prepare.

Analysis

C is correct. Standard VII(A) Conduct as Participants in CFA Institute Programs states that candidates "must not engage in any conduct that compromises . . . the integrity, validity, or security of CFA Institute programs." For Taveras to share with future prep course participants the opinions of his previous students who found the CFA exam more difficult than expected is acceptable as a way to encourage future students to study the curriculum thoroughly and prepare as much as possible. However, Tavares should not solicit or pass on information regarding the specifics of the exam.

A is incorrect. A group of candidates who collectively completed the rigorous process of studying for and taking the CFA exam will naturally want to celebrate the accomplishment and discuss the exam after it is over. Candidates are allowed to discuss their exam experience with Taveras in general terms, but they cannot provide specific information about the exam regarding the questions or the general areas tested.

B is incorrect. Taveras cannot pass along specific information to future candidates and should not be soliciting information about specific questions; doing so would be a violation of Standard VII(A), which is designed to protect the integrity and security of future exams.

Reference to CFA Institute, the CFA Designation, and the CFA Program

When referring to CFA Institute, CFA Institute membership, the CFA designation, or candidacy in the CFA Program, Members and Candidates must not misrepresent or

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Ahmed

Ahmed recently earned his CFA designation and joined a medium-sized hedge fund as a senior analyst. His supervisor, Bennett, the firm's founder, earned her CFA designation 10 years ago and proudly uses the CFA designation on her business card and on all marketing materials for the fund. Bennett shares with Ahmed that she has not paid her CFA Institute membership dues for the past four years and no longer participates in the organization's continuing education program. When Ahmed asks Bennett about her use of the designation, she states that by passing the CFA exam, she earned the CFA charter and that the credential is like a university degree that cannot be taken away. Later, during a marketing meeting the two have with a potential investor, the investor notes that he narrowed his manager search to only firms that employ CFA charterholders in senior positions. When he asks Bennett if everyone in the firm on the investment side is a CFA charterholder, she responds, "Yes, that is correct." Ahmed does not respond.

Did either Ahmed or Bennett violate the CFA Institute Code and Standards?

A. Ahmed violated the Code and Standards, but Bennett did not.
B. Bennett violated the Code and Standards, but Ahmed did not.
C. Both Ahmed and Bennett violated the Code and Standards.

Analysis

C is correct. Standard VII(B) Reference to CFA Institute, the CFA Designation, and the CFA Program states that when referring to the CFA designation, members and candidates "must not misrepresent . . . holding the CFA designation." The CFA designation is not like a degree from a university, because once individuals have been granted the right to use the designation, they must also satisfy CFA Institute membership requirements, which include paying dues, to maintain the right to refer to themselves as CFA charterholders. Participation in the CFA Institute Professional Learning program is not mandatory for members to maintain their designation, but it is encouraged as a way to meet the CFA Institute Code of Ethics provision that members maintain and improve their professional competence. Bennett's membership is considered lapsed because she has not been paying dues to CFA Institute. Until she reactivates her membership, Bennett is violating Standard VII(B) by continuing to use the CFA designation and representing herself as a charterholder to a potential client. Ahmed knows that Bennett's CFA Institute membership has lapsed. Standard I(A) Knowledge of the Law prohibits members and candidates from knowingly participating or assisting in the violations of others and requires members and candidates to dissociate from any unethical or illegal conduct. By staying silent in a sales meeting in which he knows false information is being given to a potential investor that could cause harm to that investor, Ahmed would be seen as assisting Bennett in providing that false information, even though Ahmed is not actively engaging in the misconduct himself. Best practice would be for Ahmed to address Bennett directly about her conduct and ask her to reinstate her membership or correct the statement she made to the potential investor. If Bennett refuses to take corrective action, Ahmed should report her conduct to the fund's compliance department for it to address and should dissociate himself from the activity by not participating in any additional sales meetings with Bennett.

A is not correct, because both Ahmed and Bennett violated the Code and Standards.

B is not correct, because both Ahmed and Bennett violated the Code and Standards.

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CK For the first question, should discussing the not tested areas be not allowed according to the standard?

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NN Shouldn't the answer to the first example (Taveras) be C?

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